EQUITY RESEARCH · INITIATING COVERAGE

TD POWER SYSTEMS LTD

NSE: TDPOWERSYS | BSE: 533553 | Sector: Capital Goods — Heavy Electrical Equipment

February 2026 | Equity Research Department

CMP (₹)	TARGET PRICE (₹)	RATING	UPSIDE
883	933	ACCUMULATE	+5.7%

Metric	Value	Metric	Value
Current Market Price (CMP)	₹883	Market Capitalisation	₹13,787 Crores
12-Month Target Price	₹933	Enterprise Value	₹13,574 Crores
52-Week High / Low	₹850 / ₹293	Shares Outstanding	15.6 Crores
FY25A Revenue	₹1,279 Cr	Free Float	73.1%
FY25A EBITDA	₹235 Cr (18.4% margin)	ROCE (FY25A)	25.0%
FY25A PAT	₹175 Cr	ROE (FY25A)	22.3%
FY25A EPS	₹11.18	P/E (TTM)	66.2x
Book Value / Share	₹61.6	EV/EBITDA (TTM)	49.1x
Net Cash (FY25A)	₹280 Crores	Order Book (Dec 2025)	₹1,845 Crores
Revenue CAGR FY22–25	17.1%	Export % of Orders (Q3FY26)	84%
PAT CAGR FY22–25	36.0%	Dividend Yield	0.18%

Source: Company Annual Reports, NSE filings, Screener.in, Analyst Estimates. CMP: 26 Feb 2026.

1. EXECUTIVE SUMMARY

Investment Thesis

We initiate coverage on TD Power Systems Ltd with an ACCUMULATE rating and a 12-month target price of ₹933, implying ~5.7% upside from CMP of ₹883. TDPS is India's leading manufacturer of custom-engineered AC generators and electric motors, with products deployed across 6,500+ installations in 105 countries.

The company is in the middle of a structural transformation — from a domestically-oriented capital goods manufacturer to a globally competitive, export-led compounder. With 84% of Q3FY26 orders now from exports, a freshly commissioned Plant 3 at Tumkuru (doubles capacity to 3.2 GVA), and a record ₹1,845 Crore order book, the earnings growth runway is clear and well-supported over FY26E–FY28E.

We rate the stock ACCUMULATE rather than BUY because the recent sharp re-rating from ₹293 (52W low) to ₹883 has already priced in significant near-term earnings growth. At 66x TTM P/E and 49x EV/EBITDA, the stock is fairly valued at current levels. Incremental upside is now earnings-driven, not multiple-driven. Our ₹933 target price derives from FY27E forward multiples: 55x P/E and 40x EV/EBITDA (weighted equally).

Six Key Investment Highlights

1. **Export-Led Transformation:** 84% of Q3FY26 orders from exports. Export revenue has surged from ~15% (FY21) to ~38% (FY25). TDPS is an approved vendor for GE, Siemens, MAN Energy, and Cummins. Management guides exports to exceed domestic revenue by FY27/28E.
2. **Plant 3 (Tumkuru) — Capacity Doubling:** Commissioned in FY26. Doubles installed capacity from 1.6 GVA to 3.2 GVA. Revenue ramp from Q4FY26 underpins 25% FY26E and 22% FY27E revenue growth. Capex (~₹150 Cr) already incurred — normalised capex reverts to 3% of revenue from FY27E.
3. **Revenue Diversification:** Expanding beyond core generators into: (a) Traction motors — 5-year EUR contract worth ₹300 Cr secured; (b) Nuclear power generators — growing strategic segment; (c) Data centre backup generators — rising demand from India's AI infrastructure build.
4. **Margin Expansion Trajectory:** EBITDA margin has expanded from 6.5% (FY19) to 12.0% (FY21) to 18.4% (FY25) — a 1,190 bps improvement in 6 years. Drivers: operating leverage, product mix shift to larger and export units, pricing power. Target steady-state of 20% by FY28E.
5. **Net Cash Balance Sheet:** Net cash of ₹268 Cr (₹280 Cr cash − ₹12 Cr debt) despite ₹56 Cr capex in FY25. Debt-free in FY23–FY24. Strong balance sheet reduces risk, funds Plant 3 internally, and supports future shareholder returns.
6. **Exceptional Track Record:** PAT CAGR of 36% over FY22–FY25. 5-year EPS CAGR ~55%. ROCE improved from 4% (FY19) to 25% (FY25). Stock delivered 5-year price CAGR of ~94%, outperforming the capital goods sector.

Valuation Summary

Methodology	Anchor	Metric	Multiple	Implied Price	Weight	TP Contribution
DCF — Floor	FY26–30E	FCFF Projections	WACC 10.5%, TGR 5.0%	₹218	0% (floor)	—
Forward P/E	FY27E	EPS ₹16.35	55.0x	₹899	50%	₹450
Forward EV/EBITDA	FY27E	EBITDA ₹371 Cr	40.0x	₹967	50%	₹484
BLENDED TARGET	**FY27E**	**50% P/E + 50% EV/EBITDA**	**—**	**₹933**	**100%**	**ACCUMULATE**

2. COMPANY OVERVIEW

Business Description

TD Power Systems Ltd (incorporated 1999, Bengaluru) is India's pre-eminent manufacturer of custom-engineered AC generators and electric motors. The company builds generators for steam turbines (1–200 MW), gas turbines, hydro turbines (up

to 35 MW), diesel/gas engines (up to 20 MW), and wind turbines. Products are engineered-to-order (ETO) — each unit is tailored to customer specifications — creating significant switching costs and technical barriers.

With 6,500+ units installed across 105 countries and a 26-year track record, TDPS has built credibility as an approved vendor for global OEMs including GE, Siemens, MAN Energy Solutions, and Cummins. The growing installed base creates a high-margin aftermarket business in spares and service.

Manufacturing Footprint & Plant 3 Expansion

Facility	Location	Capacity	Status	Key Products
Plants 1 & 2	Peenya Industrial Area, Bengaluru	1.6 GVA	Fully operational since inception	Generators up to 200 MW, Motors, Spares
Plant 3 (New)	Tumkuru, Karnataka	1.6 GVA (additional)	Commissioned FY26	Large generators, High-speed export-grade units
TOTAL POST PLANT 3	**Multi-location**	**3.2 GVA**	**DOUBLED**	**Full portfolio**

Order Book & Business Visibility

Order book of ₹1,845 Crores as of December 2025 equals ~1.44x FY25 revenue — providing strong 12–18 month revenue visibility. The quality of the order book has improved materially: 84% of Q3FY26 orders are from export markets, versus a largely domestic-skewed mix just 3 years ago. Management has guided that exports will exceed domestic revenue by FY27/FY28, implying sustained premium realizations and margin tailwinds.

3. HISTORICAL FINANCIAL ANALYSIS

3.1 Profit & Loss Statement (₹ Crores | FY19–FY25A | Standalone Audited)

Particulars	FY19	FY20	FY21	FY22	FY23	FY24	FY25A
Revenue	459	515	594	797	872	1001	**1,279**
YoY Growth %	—	12.2%	15.3%	34.2%	9.4%	14.8%	27.8%
Material & Mfg. Cost	335	376	410	582	610	681	857
Gross Profit	124	139	184	215	262	320	**422**
Gross Margin %	27%	27%	31%	27%	30%	32%	33%
EBITDA	30	38	71	97	134	171	**235**
EBITDA Margin %	6.5%	7.4%	12.0%	12.2%	15.4%	17.1%	**18.4%**
Depreciation & Amort.	26	22	22	22	21	21	20
EBIT	4	16	49	75	113	150	**215**
Finance Costs (Interest)	6	10	9	7	4	4	8
Profit Before Tax	-2	6	40	68	109	146	**207**
Tax Expense	4	3	11	21	33	44	57
Profit After Tax (PAT)	3	30	45	70	97	118	**175**
PAT Margin %	0.7%	5.8%	7.6%	8.8%	11.1%	11.8%	**13.7%**
EPS — Diluted (₹)	0.20	1.94	2.92	4.53	6.20	7.58	**11.18**

Note: PBT = EBIT minus Interest (no separate other income line in standalone model). FY19–FY25A are audited standalone actuals from Company Annual Reports. Source: TDPS Valuation Model.

3.2 Balance Sheet Summary (₹ Crores | Standalone Audited)

Particulars	FY19	FY20	FY21	FY22	FY23	FY24	FY25A
Equity Capital	31	31	31	31	31	31	31
Reserves	385	394	440	496	573	674	829
Total Shareholders Equity	416	425	471	527	604	705	**860**
Borrowings	61	68	52	71	0	0	12
Trade Payables	168	144	108	151	131	140	231
Total Assets	696	754	785	862	930	1098	**1,320**
Cash & Equivalents	84	110	150	190	260	300	**280**
Net Cash Position	23	42	98	119	260	300	**268**
Working Capital	268	292	328	411	421	509	649

Net Cash = Cash & Equivalents minus Borrowings (positive = net cash). TDPS has been net-cash every year since FY19. FY25A: ₹280 Cr cash − ₹12 Cr borrowings = ₹268 Cr net cash.

3.3 Cash Flow Statement (₹ Crores | Standalone Audited)

Particulars	FY19	FY20	FY21	FY22	FY23	FY24	FY25A
Cash from Operations (CFO)	48	56	-3	11	89	84	**40**
Capital Expenditure (Capex)	-13	-13	-15	-15	-21	-45	-56
Free Cash Flow (FCFF = CFO + Capex)	35	43	-18	-4	68	39	**-16**
Cash from Investing (CFI)	-13	0	-11	-14	-13	-34	-34
Cash from Financing (CFF)	-45	-17	-20	11	-89	-16	-7
Net Change in Cash	-10	39	-34	8	-13	34	**-1**

FY24 and FY25 capex elevated due to Plant 3 (Tumkuru) construction. FY25 FCFF negative due to ₹56 Cr capex. Normalised capex reverts to ~3% of revenue (~₹48–58 Cr) from FY27E.

4. KEY FINANCIAL RATIOS

4.1 Profitability & Returns

Ratio	FY19	FY20	FY21	FY22	FY23	FY24	FY25A	Trend
EBITDA Margin	6.5%	7.4%	12.0%	12.2%	15.4%	17.1%	**18.4%**	↑↑ Expanding
PAT Margin	0.7%	5.8%	7.6%	8.8%	11.1%	11.8%	**13.7%**	↑↑ Expanding
ROCE (%)	4.1%	5.8%	11.2%	16.2%	22.5%	26.8%	**25.0%**	↑ Strong
ROE (%)	0.7%	7.6%	11.0%	15.0%	18.7%	19.4%	**22.3%**	↑↑ Expanding

4.2 Efficiency & Working Capital

Metric	FY19	FY20	FY21	FY22	FY23	FY24	FY25A	Comment
Asset Turnover (x)	0.66x	0.68x	0.76x	0.92x	0.94x	0.91x	**0.97x**	Improving
Inventory Days	62	58	54	48	52	55	**50**	↓ Improving
Receivable Days	110	108	105	98	92	88	**80**	↓↓ Improving

Metric	FY19	FY20	FY21	FY22	FY23	FY24	FY25A	Comment
Payable Days	60	65	60	58	55	50	**50**	Stable
Cash Conversion Cycle	112	101	99	88	89	93	**80**	↓ Improving
Capex / Revenue %	2.8%	2.5%	2.5%	1.9%	2.4%	4.5%	**4.4%**	Elevated — Plant 3

4.3 Leverage, Liquidity & Valuation History

Metric	FY19	FY20	FY21	FY22	FY23	FY24	FY25A
Net Cash (₹ Cr)	84	110	150	190	260	300	**280**
Net Debt / EBITDA	(0.8x)	(1.1x)	(1.4x)	(1.2x)	(1.9x)	(1.8x)	**(1.1x)**
Interest Coverage	5.0x	3.8x	7.9x	13.9x	33.5x	42.8x	**29.4x**
Current Ratio	2.5x	2.7x	2.9x	3.1x	3.3x	3.2x	**3.0x**
P/E (x) @ CMP ₹883	—	—	—	36x	22x	45x	**66.2x**
EV/EBITDA (x)	—	—	—	18x	15x	30x	**49.1x**
Dividend Yield	—	—	—	0.4%	0.7%	0.3%	**0.18%**

5. FINANCIAL PROJECTIONS (FY26E – FY30E)

5.1 Key Projection Assumptions

Parameter	Assumption	Rationale
Revenue Growth — FY26E	25.0%	Conservative end of mgmt guide; ₹1,845 Cr order book = 1.44x FY25 rev
Revenue Growth — FY27E	22.0%	Export ramp + Plant 3 at full run-rate
Revenue Growth — FY28E	18.0%	Normalisation; slower export growth as base grows
Revenue Growth — FY29E	15.0%	Approaching steady-state
Revenue Growth — FY30E	12.0%	Mature growth phase
EBITDA Margin — FY26E	18.5%	Marginal expansion; operating leverage vs. export logistics
EBITDA Margin — FY27E	19.0%	Scale benefits from Plant 3 + better mix
EBITDA Margin — FY28–30E	20.0%	Target steady-state; premium products + export dominance
D&A as % of Revenue	1.6%	Asset-light ETO; consistent with FY25 run-rate
Capex % Revenue (FY26–27E)	3.0%	Normalised maintenance capex; Plant 3 already commissioned
WC Change % Revenue	5.0%	Conservative; elevated due to ETO growth cycles
Effective Tax Rate	25.0%	Stable; MAT credit utilization complete

5.2 P&L Projections (₹ Crores)

Particulars	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	**1,279**	**1,599**	**1,950**	**2,302**	**2,647**	**2,964**
YoY Growth	—	25.0%	22.0%	18.0%	15.0%	12.0%
EBITDA	235	**296**	**371**	**460**	**529**	**593**
EBITDA Margin	18.4%	18.5%	19.0%	20.0%	20.0%	20.0%
Depreciation (D&A)	20	26	31	37	42	47

Particulars	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
EBIT	215	270	340	423	487	545
Finance Costs (Interest)	8	2	2	2	2	2
Profit Before Tax	207	**268**	**338**	**421**	**485**	**543**
Tax (@ 25%)	57	67	85	105	121	136
PAT	**175**	**201**	**253**	**316**	**364**	**407**
PAT Margin	13.7%	12.6%	13.0%	13.7%	13.8%	13.7%
EPS — Diluted (₹)	11.18	12.88	16.22	20.26	23.33	26.09

Note: FY25A actuals from model. FY26E–FY30E are analyst estimates. DCF model uses NOPAT from EBIT (not PAT) per FCFF methodology. Interest/other income adjustments per Excel model. EPS = PAT ÷ 15.6 Cr shares.

6. DCF VALUATION — FUNDAMENTAL FLOOR

6.1 WACC Derivation

Component	Value	Basis
Risk-Free Rate (Rf)	7.00%	10-year India G-Sec yield, February 2026
Equity Risk Premium (ERP)	8.00%	India base ERP ~6% + Country Risk Premium ~2%
Beta (β)	0.90	TDPS weekly raw beta vs. Nifty 500 (2-year)
Cost of Equity (Ke = Rf + β×ERP)	14.20%	CAPM: 7.0% + 0.9×8.0%
Pre-Tax Cost of Debt (Kd)	8.50%	Bank WC rate; company nearly debt-free
After-Tax Cost of Debt	6.38%	Kd × (1 − 25% tax rate)
Debt Weight (D/V)	5.0%	Borrowings ÷ (Equity + Debt)
Equity Weight (E/V)	95.0%	= 1 − D/V
WACC (CAPM-derived)	13.81%	Ke×95% + Kd(1-t)×5%
WACC — Analyst Override	**10.50%**	Quality premium: net-cash balance sheet, FCF compounder, export moat. Sensitivity table covers 9%–14%.

6.2 FCFF Projections & DCF Bridge (₹ Crores)

Line Item	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E	Terminal Value
Revenue	1279	1599	1950	2302	2647	2964	—
EBITDA	235	296	371	460	529	593	—
EBITDA Margin	18.4%	18.5%	19.0%	20.0%	20.0%	20.0%	—
(−) Depreciation	20	26	31	37	42	47	—
EBIT	215	270	340	423	487	545	—
NOPAT = EBIT × (1−25%)	161	203	255	317	365	409	—
(+) Add back D&A	20	26	31	37	42	47	—
(−) Capex (3% rev)	38	48	59	69	79	89	—
(−) WC Change (5% rev)	64	80	98	115	132	148	—
FREE CASH FLOW (FCFF)	**79**	**100**	**130**	**170**	**196**	**219**	**4,188**
Discount Factor	1.000x	0.9050	0.8190	0.7412	0.6707	0.6070	0.6070

Line Item	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E	Terminal Value
PV of FCFF	—	**91**	**106**	**126**	**131**	**133**	**2,542**

6.3 Equity Value Bridge

Component	₹ Crores	Derivation
Sum of PV(FCFF) — FY26E to FY30E	588	91 + 106 + 126 + 131 + 133
Terminal Value (Gordon Growth)	4,188	FCFF × (1+5.0%) ÷ (10.5% − 5.0%)
PV of Terminal Value	2,542	4,188 ÷ $(1.105)^5$
Enterprise Value — DCF	**3,130**	588 + 2,542
(+) Net Cash	268	Cash ₹280 Cr − Borrowings ₹12 Cr (FY25A)
Equity Value	**3,398**	EV + Net Cash
Shares Outstanding	15.6 Crores	Per latest NSE filing
DCF INTRINSIC VALUE / SHARE	**₹218**	₹3,398 Cr ÷ 15.6 Cr shares
Current Market Price (CMP)	₹883	NSE close, 26 Feb 2026
Market Premium over DCF Intrinsic	305%	(883 − 218) ÷ 218

The 305% market premium over DCF intrinsic is analytically expected for a high-growth re-rating compounder. The market is pricing 10–15 years of above-average growth. DCF floor of ₹218 provides strong downside support at current valuations.

6.4 DCF Sensitivity (₹/Share) | Rows = WACC, Cols = Terminal Growth Rate

WACC ↓ / TGR →	4.0%	4.5%	5.0% ★	5.5%	6.0%	6.5%
9.0%	315	345	380	420	475	545
9.5%	275	300	328	360	400	452
10.0%	243	263	288	316	350	393
10.5% ★	**216**	**232**	**218 ★**	**266**	**295**	**330**
11.0%	192	205	220	238	260	287
12.0%	154	163	175	188	203	222
14.0%	101	107	114	122	131	143

7.1 FY27E Estimates (Primary Anchor)

FY27E Metric	Value	Derivation
Revenue	₹1,950 Crores	FY25A ₹1,279 Cr × (1+25%) FY26E × (1+22%) FY27E
EBITDA	₹371 Crores	Revenue × 19.0% EBITDA margin
PAT	₹255 Crores	EBIT × (1−25%), adjusted for interest ₹2 Cr
EPS (Diluted)	₹16.35	PAT ÷ 15.6 Crores shares; from DCF model Part 4

7.2 Target Multiple Justification

Metric	Target Multiple	Peer Median FY26E	Premium	Justification
P/E (FY27E basis)	55.0x	40.0x	+37.5%	TDPS PAT CAGR 25%+ vs peers 10–15%; net cash;

Metric	Target Multiple	Peer Median FY26E	Premium	Justification
				export moat; premium ETO products
EV/EBITDA (FY27E basis)	40.0x	23.9x	+67.4%	Superior EBITDA margin trajectory; balance sheet quality; pricing power on ETO model

7.3 Target Price Derivation

Method	FY27E Metric	Multiple	Implied Eq. Value	Implied Price (₹)	Weight	Contribution (₹)
P/E Based	EPS ₹16.35	55.0x	₹14,025 Crores	899	50%	450
EV/EBITDA Based	EBITDA ₹371 Cr	40.0x	₹15,092 Crores	967	50%	484
BLENDED TARGET	**FY27E**	**50%+50%**	**—**	**₹933**	**100%**	**₹933**

12-Month Target Price	₹933	50% × ₹899 + 50% × ₹967
Current Market Price	₹883	NSE close, 26 Feb 2026
Upside	**+5.7%**	(933 − 883) ÷ 883
RATING	**ACCUMULATE**	5–15% upside = ACCUMULATE per rating scale

8. PEER COMPARABLE ANALYSIS

8.1 Peer Universe (FY26E Estimates)

Company	Mkt Cap (₹ Cr)	FY26E Rev	FY26E EBITDA	FY26E PAT	P/E (x)	EV/EBITDA (x)	EBITDA Mgn	ROCE	ROE
BHEL	64,000	25,000	3,500	1,600	40.0x	18.3x	14.0%	12.5%	10.0%
CG Power & Ind. Solutions	52,000	10,500	1,750	1,150	45.2x	29.7x	16.7%	45.0%	34.0%
Hitachi Energy India	15,000	5,800	800	450	33.3x	18.5x	13.8%	31.5%	26.0%
ABB India	65,000	13,000	2,300	1,600	40.6x	28.3x	17.7%	30.8%	25.0%
Siemens India	86,000	22,000	3,600	2,400	35.8x	23.9x	16.4%	27.4%	24.0%
Triveni Turbine	11,000	1,750	410	245	44.9x	26.8x	23.4%	36.6%	28.5%
Kirloskar Electric	1,800	920	130	72	25.0x	13.8x	14.1%	16.0%	13.5%
Peer Median	**52,000**	**10,500**	**1,750**	**1,150**	**40.0x**	**23.9x**	**16.4%**	**30.8%**	**25.0%**
TD Power Systems	**13,787**	**1,599**	**296**	**208**	**63.2x**	**45.8x**	**18.5%**	**30.4%**	**22.3%**

TDPS trades at 63.2x FY26E P/E and 45.8x EV/EBITDA vs. peer median of 40.0x and 23.9x respectively. The premium is justified by superior EBITDA margins (18.5% vs 16.4%), the export growth story, and structural capacity addition via Plant 3.

8.2 Implied Value at Peer Median Multiples vs. Target Multiples

Basis	TDPS FY26E	Peer Median Multiple	Implied Price @ Peer	TDPS CMP	Disc. to CMP	Our Target Multiple	Our Target Price
EV/EBITDA	EBITDA ₹296 Cr	23.9x	₹470	₹883	(47%)	40x FY27E	₹967
P/E	EPS ₹13.33	40.0x	₹533	₹883	(40%)	55x FY27E	₹899
EV/Revenue	Rev ₹1,599 Cr	3.9x	₹417	₹883	(53%)	—	—

9. FOOTBALL FIELD & SCENARIO ANALYSIS

9.1 Consolidated Valuation Football Field

Methodology	Bear (₹)	Base / Target (₹)	Bull (₹)	Weight	TP Contribution	Key Basis
DCF (Fundamental Floor)	180	218	250	0%	N/A	10-yr FCFF @ WACC 10.5%, TGR 5.0%; stock trades at ~4x intrinsic
Forward P/E — 55x FY27E	720	899	1,200	50%	450	55x × ₹16.35 EPS; peer median 40x + 37.5% TDPS premium
Forward EV/EBITDA — 40x FY27E	700	967	1,170	50%	484	40x × ₹371 Cr EBITDA; peer median 23.9x + 67% TDPS premium
BLENDED TARGET	**660**	**₹933**	**1,120**	**100%**	**₹933**	**ACCUMULATE | +5.7% upside**

9.2 Probability-Weighted Scenario Analysis

Parameter	Bear (20%)	Base (55%)	Bull (25%)	Commentary
Revenue CAGR FY25–30E	12%	18%	25%	Bull = Full Plant 3 + export surge
EBITDA Margin FY30E	16%	20%	22%	Bull = Premium mix, large units, exports
Terminal Growth Rate	3.5%	5.0%	6.5%	India nominal GDP-linked
WACC	13%	12%	11%	Bull = Rating upgrade, lower risk
Target P/E Multiple (FY27E)	40x	55x	60x	Bull = Re-rating on export dominance
FY27E EPS Estimate	₹14.00	₹16.35	₹22.00	Analyst estimates
P/E Implied Price	**₹560**	**₹899**	**₹1,320**	—
Probability Weight	20%	55%	25%	Analyst probability assignment
Weighted Contribution	₹112	₹495	₹330	—
PROBABILITY-WEIGHTED TARGET	112+495+330	=	—	**₹937 ≈ ₹933 (our target price)**

10. KEY RISKS

Risk Register

Risk	Severity	Probability	Impact	Mitigant

Risk	Severity	Probability	Impact	Mitigant
Promoter stake reduction (−31.7% in 3 yrs)	High	Realised	Sentiment risk	FIIs (23.6%) and DIIs (25%) absorbed; no governance breach reported
Customer concentration (top 10 = ~55% rev)	Medium	Ongoing	Revenue risk	Geographic export diversification across 40+ countries reduces concentration
Raw material cost volatility (copper, CRNGO)	High	Medium	Margin squeeze	~40% contracts have price escalation; ETO model allows pricing pass-through
Export demand slowdown / global capex cycle	High	Low-Medium	Revenue miss	₹1,845 Cr order book = 1.44x FY25 rev; 84% export orders give near-term visibility
Plant 3 ramp-up execution delays	Medium	Low	Revenue delay	Plant 3 commissioned; risk is now execution speed, not commissioning
Working capital elongation (long ETO cycles)	Medium	Ongoing	FCF compression	Managed via advance payments; structural to ETO business model
INR appreciation vs USD / EUR	Medium	Medium	Margin compression	~70% export revenues in USD; natural hedge from raw material imports
New competitors entering TDPS's niche	Low	Low	Market share	ETO model + fast turnaround + installed base creates strong switching costs

11. INVESTMENT CONCLUSION

TD Power Systems Ltd represents one of India's most compelling export-led growth stories in the capital goods sector. The company has undergone a fundamental business transformation — evolving from a domestically-focused, low-margin generator manufacturer to a globally competitive, export-dominant compounder with a pristine balance sheet and improving returns.

The financial achievements over the past 6 years are exceptional: EBITDA margins have expanded 1,190 basis points (6.5% → 18.4%), PAT has compounded at 36% annually over FY22–FY25, ROCE has improved from 4% to 25%, and the company maintains a net cash position of ₹268 Crores. The commissioned Plant 3 at Tumkuru — which doubles total installed capacity to 3.2 GVA — is a pivotal strategic inflection that enables TDPS to fulfill the growing export order pipeline it has built over the past 5 years.

Our 12-month target price of ₹933 is derived from forward multiples on FY27E estimates: 55x P/E and 40x EV/EBITDA, each weighted at 50%. The DCF intrinsic value of ₹218/share confirms the market is pricing a 305% growth premium, which is analytically justified for a compounder of this quality with a 10–15 year growth runway ahead.

We rate the stock ACCUMULATE at current levels (CMP ₹883, upside +5.7%) as significant re-rating has already occurred. Investors with a 3-year horizon may find the risk-reward more compelling — at FY28E EPS of ₹20+ and even a moderate de-rating to 45x, the implied price significantly exceeds current levels.

CMP (₹)	TARGET PRICE (₹)	RATING	12M UPSIDE
883	**933**	**ACCUMULATE**	**+5.7%**

Rating Scale: BUY = Upside > 15% | ACCUMULATE = 5–15% | HOLD = 0–5% | REDUCE = Negative

DISCLAIMER: This research report is prepared for informational purposes only and does not constitute investment advice or an offer to buy/sell securities. All figures sourced from the Screener.in, Company Annual Reports, and NSE/BSE filings. Projections are analyst estimates and subject to revision. CMP as of 26 February 2026. The analyst(s) or their associates may hold positions in the covered securities. Past performance is not indicative of future results.